# Legible Federal Funding: Synthesizing Five Budget-Area Tracks into a Program-Lane Standard

**TAXLANE Research — panel-reviewed (revised, round 2).** An educational synthesis. This paper **restates and ties together** five accepted track papers (T1–T5); every figure carries the **same source ID** it was cited under in its origin paper, in `docs/sources/source-version-ledger.md` — no new data is derived here. The central methodological warning is that the per-lane **%-of-GDP** figures sit on **different measurement bases and must not be summed or rank-ordered across lanes**; only the internal **% of federal outlays** column (all on the OMB-function basis) is additive. The per-lane normative directions are **separate value judgments**, not one political package.

## Abstract

Is the US income tax "too high" or "too low"? Across five budget areas the honest answer is **neither and both — it is lane-specific**, and the single "income tax" label hides five different stories. **Health (T1):** the US funds health at **~14.3% of GDP (government + compulsory) versus the OECD's 7.1%** — about **twice** — for **fewer covered (8.0% uninsured) and worse outcomes (life expectancy 2.7 years below the OECD)** [`SRC-OECD-HEALTH-2025`, `SRC-CENSUS-P60-288`]; the lever is **price-per-outcome, not the rate**. **Social Security (T2):** spending is **peer-normal (~7.3% of GDP vs OECD 8.1%)** but the **12.4% rate sits on a low, eroding capped base**, and the fund depletes ~2032–34 [`SRC-OECD-PENSIONS-2025`, `SRC-SSA-TRUSTEES-2026`]; the lever is **the cap, not the rate**. **Defense (T3): ~3.0% of GDP (OMB) / ~3.2–3.4% (NATO)**, above the European norm (~2.0%) but a **strategic judgment** expressed as a **band (2.0–3.5% of GDP)**, not a fiscal finding [`SRC-NATO-DEFEXP-2025`, `SRC-NATO-HAGUE-2025`]. **Income Security (T4):** direct family support is **~1.1% of GDP against an OECD norm of ~2.2% — under-funded**; the direction is **strengthen and stabilize** [`SRC-OECD-SOCX`, `SRC-CENSUS-P60-280`]. **Revenue (T5):** the US **under-collects overall — 25.6% of GDP (all government) vs the OECD's 34.1%** — and **borrows ~25% of what it spends** ($1.77T in FY2025) [`SRC-OECD-REVSTATS-2025`, `SRC-OMB-HIST-1-1-FY2027`]. The pattern is coherent: the US **over-funds one lane on price, under-funds another, funds defense by strategy, runs a structurally-capped old-age lane, and under-collects overall** — so the reform is **lane-specific**, and TAXLANE's contribution is a **legibility standard**: report each lane's level, its **correct comparison basis**, its **borrowed share**, and its **outcome**, instead of a single tax number that answers none of these.

## 1. Introduction

The four area papers each rejected the framing they were handed. Health was not "spend more or less" but "spend the same and buy more." Old age was not "raise the rate or cut benefits" but "fix the base." Defense was not a fiscal rate at all but a strategic band. Income security was not "the welfare state is small" but "family support specifically is thin." And revenue reframed the deficit as **two-sided** — an unmet revenue gap, not only a spending excess. This synthesis asks what those five reframings, taken together, say about the US funding system — and what a reader should be able to **see** that a single income-tax figure conceals.

## 2. The five lanes at a glance

Two tables, because two different things are being measured. **Table A is additive** (internal federal budget shares, all on the OMB budget-function basis, FY2025). **Table B is not additive and not rank-comparable** (international comparisons, each on its own measurement basis) — it is a column of *separate* facts, never a sum.

**Table A — Internal budget shares (additive; OMB function, % of FY2025 outlays)**

| Lane | Function | FY2025 outlays | % of outlays |
|---|---|---|---|
| Health + Medicare | 550 + 570 | $1,975,229M | **28.2%** |
| Social Security | 650 | $1,580,673M | **22.5%** |
| National Defense | 050 | $916,140M | **13.1%** |
| Net interest | 900 | $970,065M | **13.8%** |
| Income Security | 600 | $701,609M | **10.0%** |

Source: `SRC-OMB-HIST-3-2-FY2027` (function outlays; total FY2025 outlays $7,011,105M). These rows are all on the same basis (function outlays ÷ total outlays) and **do** sum: the four program lanes plus net interest are **~87.6% of all federal outlays** — the bulk of the budget is five lines. Two facts jump out once interest is on the same basis as the rest: **net interest ($970B, 13.8%) now exceeds the entire defense lane (13.1%)**, and on a %-of-GDP basis it runs ~3.2% and is projected toward ~5.4% by 2055 [`SRC-CBO-LTBO`] — the clearest single price of the under-collection documented in §4.

**Table B — International comparison (NOT additive; each on its own labeled basis)**

| Lane | US | Peer norm | Basis (do not sum or rank across rows) |
|---|---|---|---|
| Health | ~14.3% of GDP | OECD 7.1% | government + compulsory (incl. compulsory private) |
| Social Security | ~7.3% of GDP | OECD 8.1% | OECD public pension expenditure |
| Defense | ~3.0–3.4% of GDP | Europe ~2.0% | OMB function 050 / NATO–SIPRI |
| Family benefits | ~1.1% of GDP | OECD ~2.1–2.3% | SOCX public + tax-breaks-for-social-purposes |
| Total taxes | 25.6% of GDP | OECD 34.1% | all-government tax-to-GDP |

Sources by row: `SRC-OECD-HEALTH-2025`; `SRC-OECD-PENSIONS-2025`; `SRC-NATO-DEFEXP-2025 / SRC-SIPRI-MILEX-2024`; `SRC-OECD-SOCX / SRC-CBO-TAX-EXP-2025`; `SRC-OECD-REVSTATS-2025`. **These five rows are on five different definitions** (government-vs-public, function-vs- OECD-category, federal-vs-all-government). They each answer "how does the US compare *for this lane, on this basis*," and must never be added or ranked into a single "US vs OECD" number.

## 3. Five different logics

- **Health — over-funded on price.** ~2× the OECD share for worse outcomes; the premium is a **price** phenomenon, not utilization [SRC-JAMA-PAPANICOLAS-2018]. The fair lever is **cost-per-outcome under a coverage floor**, not a higher health-funding rate — and T1's efficiency gains are **conditional ceilings** (gated on verified, coverage-protected unit- price cuts), not bankable savings. Direction: **bend cost, don't add rate.**
- **Social Security — peer-normal spend, broken base.** Spend is near the OECD norm and the 12.4% rate is **below** large peers, but it sits on a **low, eroding capped base** (~17–18% of earnings escape) and the fund depletes ~2032–34 (75-yr deficit 4.42% of payroll) [SRC-SSA-TRUSTEES-2026]. Lever: **the cap, not the rate.**
- **Defense — a strategic band, not a rate.** ~3.0% (OMB) / ~3.2–3.4% (NATO), above the European ~2.0% norm, below US Cold-War levels; the Hague 3.5%-core commitment is the live driver [SRC-NATO-HAGUE-2025]. The defensible range is a **band (2.0–3.5% of GDP)** set by strategy; the accounts cannot pick the point.
- **Income Security — under-funded family support.** ~1.1% of GDP (tax-code delivery netted in) vs an OECD norm ~2.2%; the 2021 Child Tax Credit episode shows design and durability move child poverty fast [SRC-CENSUS-P60-280]. Direction: **strengthen and stabilize.**
- **Revenue — under-collected overall.** 25.6% of GDP all-government vs OECD 34.1%; the US lacks a VAT base and peer-level social contributions; FY2025 borrowed **$1.77T, ~25% of spending** [SRC-OECD-REVSTATS-2025, SRC-OMB-HIST-1-1-FY2027]. The deficit is a **revenue gap as much as a spending excess.**

The directions **point different ways** (cut health's price, hold defense, raise family support, broaden the SS base, raise revenue) — which is the point: a single "taxes up" or "taxes down" verdict is wrong because the lanes are not the same problem.

## 4. The cross-cutting frame: under-collection and borrowing

Tracks T1–T4 are about **how each lane is funded**; T5 is the frame around all of them. The US collects about its 50-year-average federal revenue (~17.3% of GDP) while spending above its norm (~23.1% vs ~21.2%), and is **8.5 points of GDP below the OECD tax average** on an all-government basis [SRC-OECD-REVSTATS-2025, SRC-OMB-HIST-1-2-FY2027]. So every lane in Table A is **partly borrowed**: with FY2025's deficit at **~25% of outlays** [SRC-OMB-HIST-1-1-FY2027], roughly a quarter of health, defense, and family spending alike is **deficit-financed**, paid by future taxpayers — and net interest (~3.2% of GDP, rising toward 5.4% by 2055 [SRC-CBO-LTBO]) is itself becoming one of the largest lines. A legible funding system has to show this **borrowed share on every lane**, or each lane looks more tax-funded than it is.

## 5. What a legible funding system shows

The four reframings only became visible because each figure was put on its **correct basis** with its **outcome** attached. Generalized, a legible federal-funding standard reports, for every lane:

1. **Level** — dollars and % of outlays (additive, Table A).
2. **Basis-labeled comparison** — the international or historical benchmark on its own definition (non-additive, Table B), never merged.
3. **Borrowed share** — the deficit-financed fraction, so no lane reads as fully tax-funded (§4).

4. **Outcome** — what the money buys (coverage and life expectancy for health, child poverty for family support, solvency horizon for old age), not just the spend.
5. **Allocation method** — legal dedication vs proportional vs illustrative, so an earmark is never implied where money is fungible.

This is the TAXLANE thesis made operational: not a single "what your taxes paid for" number, but a **portfolio of program lanes**, each legible on its own terms.

## 6. Distribution across the lanes

The lanes differ sharply in **who they reach**. Income security is the **most progressive** — benefits concentrate at the bottom, and the 2021 Child Tax Credit episode (SPM child poverty **5.2%→12.4%** when the support stack lapsed) is the measure [T4, `SRC-CENSUS-P60-280`]. Social Security is progressive on contributions but partly offset by **differential mortality** — the life-expectancy gap between the top and bottom 1% of income is **14.6 years (men) / 10.1 (women)**, so higher earners collect longer [T2, `SRC-CHETTY-2016`]. Health subsidies and the **employer-coverage tax exclusion** are **regressive-leaning** (they favor the insured and higher earners); defense is general- funded with no lane-specific incidence. On the financing side, the US's **low total tax take and reliance on income tax** (rather than a VAT) make the revenue system **more progressive than peers' at the cost of collecting less** [T5, `SRC-OECD-REVSTATS-2025`]. And the **borrowed share** (§4) carries its own **intergenerational** incidence: deficit- financing roughly a quarter of every lane shifts cost to future taxpayers who did not vote the appropriation. A legible system should let a reader see the **spending incidence** (who benefits per lane), the **financing incidence** (who pays now), and the **generational incidence** (who pays later) — three distributions the single tax number conflates.

## 7. The reform is lane-specific, not one ideology

**Stated as value judgments, separately.** Each track's direction rests on its own premise and should not be read as a single political program:

- Bending health price assumes **cost-per-outcome** is the right efficiency test.
- Fixing the SS cap assumes **progressivity-equals-fairness**.
- Holding defense in a band assumes **strategy, not accounting, sets the level**.
- Strengthening family support assumes **child-poverty reduction is worth funding**.
- Raising revenue toward solvency assumes **balancing within a generation is a goal**.

A reader could accept some and reject others; the synthesis does **not** bundle them. What the five tracks **jointly** establish is narrower and basis-clean: measured against peer and outcome benchmarks the US funding system is **uneven** — it over-funds one lane and under-funds another — and **under-collected overall**, and these facts are **invisible** behind a single income-tax figure. "Uneven" is a description against those benchmarks, **not** a claim that there is one correct allocation the system errs from (the levels reflect distinct political settlements across lanes). As **one reading** among the value judgments above — flagged as such, not a finding — the pattern points away from a blanket "tax more" or "tax less" and toward **"fund each lane to its own defensible level, on a basis you can see, and collect enough to stop borrowing a quarter of it."** A reader who weighs the lane premises differently will draw a different prescription; the synthesis's load-bearing claim is the **diagnostic** (uneven and under-collected, made legible), not the prescription.

## 8. Reform design: the lane registry

The five papers imply a single artifact — a **federal-funding lane registry** — with one record per lane carrying the Table A level, the Table B basis-labeled benchmark, the borrowed share, the outcome metric, the allocation method, and the lane's normative direction **flagged as a proposal**. Rules: `additive_field` (budget shares) is kept separate from `comparison_field` (per-basis, non-summable); `borrowed_share` is mandatory on every lane; `allocation_method` defaults to `proportional/illustrative` and is `legal_dedication` only where a statute earmarks (e.g., OASDI payroll, T2). The registry is a **legibility device, not a control mechanism** — fungibility means an earmark does not bind appropriations, and the registry says so on its face.

## 9. Discussion and limitations

- **Non-additivity is the load-bearing caveat.** Table B's rows are five different definitions; they are presented together for legibility but are **never summed or ranked into one number**. Table A (% of outlays) is the only additive view.
- **Synthesis, not new evidence.** Every figure is restated from an accepted track paper with its original SRC ID; this paper derives nothing new and inherits each track's own limitations (projections, scope labels, normative premises).
- **Directions are separate value judgments.** The five lane directions are not a single ideology and are not bundled; a reader may accept any subset.
- **Legibility ≠ control.** A lane registry makes funding visible; it does not constrain a legislature, because money is fungible. Overstating what legibility achieves would repeat the false-precision error the program warns against.
- **The gap is structural and widening, not a snapshot.** Health (T1) and old age (T2) both rise with the demographic transition while revenue holds near its 50-year average, so the under-collection compounds — CBO projects debt rising from ~100% to ~156% of GDP by 2055, driven by interest and aging [`SRC-CBO-LTBO`]. The FY2025 picture is the near edge of a widening gap.
- **Vintage mismatch.** Table A is FY2025 budget **actuals**; several Table B comparators are **2021–2024** (OECD reporting lag). The synthesis spans vintages by design — levels move slowly enough that the comparison holds, but the years are not identical.
- **Out of scope:** the many smaller functions (education/training 500, veterans 700, international 150, etc.) are not synthesized here; the five tracks cover the largest program lanes (~74% of outlays; ~88% with net interest) plus the revenue frame.

## 10. Conclusion

The US does not have a "too high" or "too low" tax — it has a **portfolio of lanes funded on five different logics** and **under-collected overall**. It **over-funds health on price** (~2× the OECD for worse outcomes), runs a **peer-normal old-age lane on a broken capped base**, funds **defense by strategy within a band**, **under-funds family support** (~half the OECD norm), and **collects 8.5 points of GDP less than its peers** while borrowing a quarter of what it spends. None of that is visible behind a single income-tax number. The program's contribution is to make it visible: a **legible funding standard** that reports every lane's level, its **basis-correct** benchmark, its **borrowed share**, and its **outcome**. That diagnostic — uneven against peer and outcome benchmarks, and under-collected overall — is the load-bearing claim; the prescription it suggests (**fund each lane to its own defensible level, on a basis you can see, and collect enough to stop borrowing the rest**) is offered as **one reading** of the evidence, not a finding, so the public debate can move from "are taxes too high?" to the **five lane-specific**

**questions** the single number hides.

## Sources

Restated from the five track papers (same IDs): `SRC-OECD-HEALTH-2025`, `SRC-CENSUS-P60-288`, `SRC-JAMA-PAPANICOLAS-2018`, `SRC-OECD-PENSIONS-2025`, `SRC-SSA-TRUSTEES-2026`, `SRC-PENSION-CONTRIB-RATES`, `SRC-CHETTY-2016`, `SRC-NATO-DEFEXP-2025`, `SRC-SIPRI-MILEX-2024`, `SRC-NATO-HAGUE-2025`, `SRC-OMB-HIST-6-1-FY2027`, `SRC-OECD-SOCX`, `SRC-CENSUS-P60-280`, `SRC-CBO-TAX-EXP-2025`, `SRC-OECD-REVSTATS-2025`, `SRC-OMB-HIST-1-1-FY2027`, `SRC-OMB-HIST-1-2-FY2027`, `SRC-OMB-HIST-3-2-FY2027`, `SRC-CBO-BUDGET-OPTIONS`, `SRC-CBO-LTBO`. All in `docs/sources/source-version-ledger.md`.